

The Big Picture, in Plain English

Three things explained simply: ① what v8a is · ② how market making would work for us · ③ what we could actually earn · 21 Jun 2026

① WHAT IS V8A?

v8a = our "sell insurance on the market" machine

v8a is our flagship trading strategy. The simplest way to understand it: **we act like an insurance company for the stock market.**

The analogy. An insurance company sells you car insurance. Most months nothing happens, so they keep your premium. Once in a while there's a crash and they pay out — but they price the premiums so that, *on average*, they collect more than they pay. v8a does exactly this, but for the stock market.

Investors are **nervous** — they constantly overpay for protection against a market crash (this is called "options"). v8a **sells that protection** and collects the premium. History shows people overpay for this fear by a wide margin. That persistent overpayment is our edge — quants call it the **"Volatility Risk Premium" (VRP)**.

STEP 1

Collect premium

Sell "crash insurance" (credit spreads) on ETFs like SPY, QQQ, XLF, XLI.



STEP 2

Stay safe

Every trade has a built-in "wing" — a hard cap on the worst-case loss. Defined risk, always.



STEP 3

Spread the bets

8 different streams + gold/silver + a volatility ladder, so no single market move sinks us.



STEP 4

Keep the difference

Premiums collected — occasional payouts = steady profit.

What the backtest says (5 years of real data)

6.4

SHARPE RATIO
(HOW SMOOTH — >2
IS ELITE)

118%

CAGR
BACKTEST GROWTH/YR

5.1%

MAX DRAWDOWN
WORST DIP

8+

ALPHA STREAMS
DIVERSIFIED

Reality check: backtests always flatter. Live, we expect roughly half — a Sharpe around **3-4.5**, which is still genuinely excellent. The whole strategy has been stress-tested (10,000 simulated crash paths); the *only* thing that breaks it is an instant VIX-to-80 meltdown. It survives flash crashes, credit freezes, and grinding bear markets.

v8a in one sentence: we get paid a steady premium for selling other people's fear, with a hard safety cap on every trade — a high-quality, scalable income engine, not a lottery ticket.

② HOW MARKET MAKING WOULD WORK HERE

Market making = stop *paying* the toll, start *collecting* it

The analogy. Every time you exchange money at an airport, the booth quotes two prices: it *buys* dollars cheap and *sells* them dear, pocketing the gap. That gap is the "**spread**." A **market maker** is that currency booth — it doesn't bet on which way prices go; it just earns the spread by being the one everyone trades against.

The key insight for us

Right now, when v8a opens or closes a trade, **we are the tourist at the booth** — we cross the spread and pay the toll. Options spreads are *wide* (a \$2.00 option might be quoted \$1.90 bid / \$2.10 ask — that's a 10% gap). We pay a slice of that every single trade.

The upgrade: instead of grabbing the price that's offered, we *post our own price just inside the gap* and wait a moment to be filled. Now **we're the booth**, not the tourist. We capture part of the spread we used to pay.

TODAY

We pay the spread

v8a crosses the gap on every entry/exit. Money left on the table.



UPGRADE

We post inside the gap

Quote our own price, get filled by someone else crossing to us. We *earn* a slice instead of paying.

Two flavors — and why we pick the safe one first

Approach	What it is	Our call
Liquidity-provider upgrade to v8a	Same trades we already make, just entered/exited smarter (inside the spread). Bolts onto what works.	Start here
Standalone market-making desk	A brand-new business: quote both sides on many options/crypto pairs all day, hedge constantly. More profit potential, but new risks + needs data we don't own.	Later, if pilot proves it
Quoting liquid stocks (SPY shares) for rebates	The thing most people picture. Pennies per share, won by microsecond-fast firms (Citadel, Virtu).	Skip — we lose

Why options/crypto and not stocks? Stock spreads are razor-thin (one penny) and owned by firms with faster computers than us — a race we can't win. Options & crypto spreads are *wide* (1-10%), there's far less competition in the corners we'd pick, and **speed stops being the thing that decides who wins** — smarts and risk discipline do. That's our home turf.

How much could this actually make?

Two separate income sources, stacked:

A) The v8a execution upgrade (the easy win)

This doesn't invent new profit — it **stops a leak** in the profit we already make. On every trade we currently donate part of a wide spread. Recapturing even a portion is a **multi-percent boost to v8a's annual return**, for essentially **zero added risk**. Free money we're currently leaving on the table. And we can **test it this week** on data we already own.

B) A standalone market-making book on \$1MM

If we later run a real MM desk with \$1,000,000, here's the honest range — **per day**, in normal conditions:

Quiet / building

~\$300/day

≈ \$75k/yr · slow days,
low volume

Normal operation

**\$300-
\$1,500/day**

≈ \$75k-\$375k/yr · the
realistic base case

Good days

**up to
~\$3,000/day**

busy, volatile, well-
positioned

As an annual return on the \$1MM, that's roughly **8-30%+** in good execution — real money, but **not** the smooth ride v8a is. Expect bumpy days, real drawdowns, and a fat "tail" risk (a sudden gap can hurt a market-maker fast). This is a *conditional* number: it depends heavily on how well we execute, not just on showing up.

Is \$1MM enough? — Yes.

Capital is **not** the thing holding us back. \$1MM is plenty to start. The real limits are: **(1)** how wide the spreads are where we play, **(2)** how often we get "picked off" by smarter/faster traders (adverse selection), and **(3)** how many small books our models and risk system can run well at once. We grow by running *more small books*, not by betting bigger on one.

The plan, simply

THIS WEEK

Test the v8a upgrade

Backtest posting inside the spread on our existing trades. Low risk, runnable now.



NEXT

Tiny live pilot

≤\$100k quoting a couple of ETFs just to *measure* real-world fills. Learn before scaling.



THEN

Scale if it proves out

Spread across 15–40 small, risk-capped books. Only if the pilot's numbers are good.

Bottom line: v8a is a steady "sell insurance" income engine. Market making is "stop paying the toll, start collecting it." The smartest, safest first step is to bolt the toll-collecting onto v8a — free money, testable this week. The bigger standalone desk (~\$300–\$1,500/day on \$1MM) is real but must be *earned* with a careful pilot first.

Maximus · simplified companion to the full feasibility brief ([market_making_1mm_brief.html](#)). v8a figures are backtest results (live expectation ~half the Sharpe); MM earnings are conditional estimates, not guarantees.